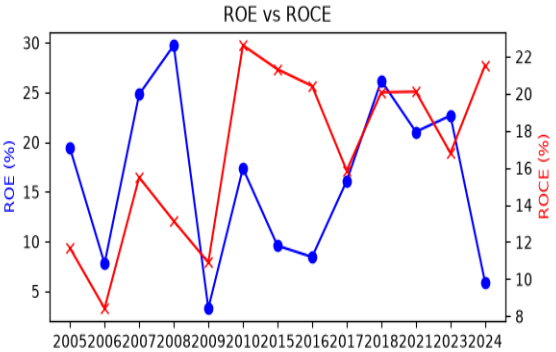
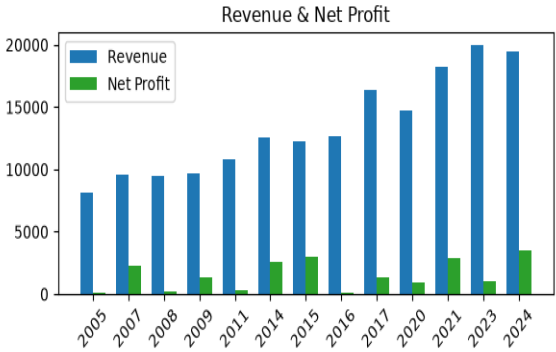
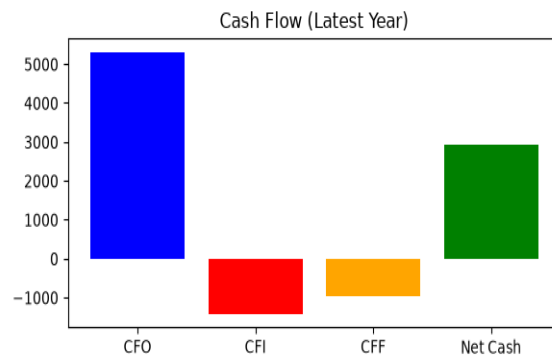
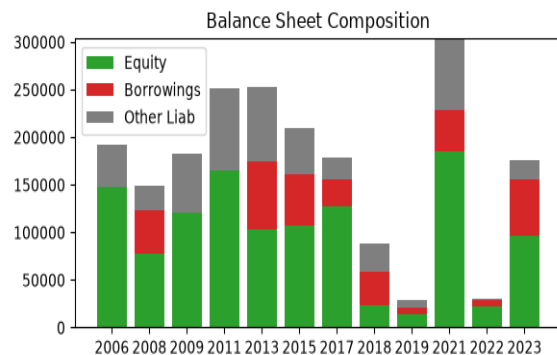


Cholamandalam Investment and Finance Company Ltd

Revenue	Rs. 19429.9 Cr	Net Profit	Rs. 3504.3 Cr	OPM	32.9%
ROE	5.9%	ROCE	21.5%	D/E	0.30





Capital Allocation Pattern: Value

Pros:

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons:

- Revenue contraction over consecutive years indicates demand weakness or market share loss
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility